

CHINA

Table 1 **2022**

Population, million	1412.2
GDP, current US\$ billion	17915.6
GDP per capita, current US\$	12686.5
International poverty rate (\$2.15) ^a	0.1
Lower middle-income poverty rate (\$3.65) ^a	2.0
Upper middle-income poverty rate (\$6.85) ^a	24.7
Gini index ^a	37.1
School enrollment, primary (% gross) ^b	104.1
Life expectancy at birth, years ^b	78.2
Total GHG emissions (mtCO2e)	14105.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2020), 2017 PPPs.

b/ Most recent WDI value (2021).

China's growth has slowed substantially since April. Domestic demand has weakened, reflecting subdued consumer and business confidence, an incomplete labor market recovery, and persistent property market turmoil. Slowing global growth, meanwhile, has tempered external demand. From a low base in 2022, growth is forecast at 5.1 percent in 2023, before returning to a trend of structural deceleration thereafter. Poverty reduction is expected to pick up in 2023, but slow in 2024 in line with more moderate growth.

Key conditions and challenges

China's post-COVID recovery started strong in the first quarter of 2023, led by a rebound in consumer spending, but economic activity has slowed since April. The drivers that could sustain the growth momentum—further improvements in the labor market and household incomes, a recovery in business confidence and private investment, and a turnaround in the housing market—are yet to gain traction. In addition, the global environment has become less favorable, characterized by slower growth, tighter financial conditions, and heightened geo-economic tensions.

Over the medium term, China is confronted with declining growth potential that reflects its maturing economy, as well as structural challenges such as slowing productivity growth and a shrinking working-age population. Furthermore, high debt and diminishing returns to physical capital accumulation constrain the space for investment-driven growth in the future. Geopolitical tensions and rising protectionism have disrupted global value chains, foreign investment flows, and access to some technologies.

Recent developments

The economy has slowed substantially since April, with growth decelerating to

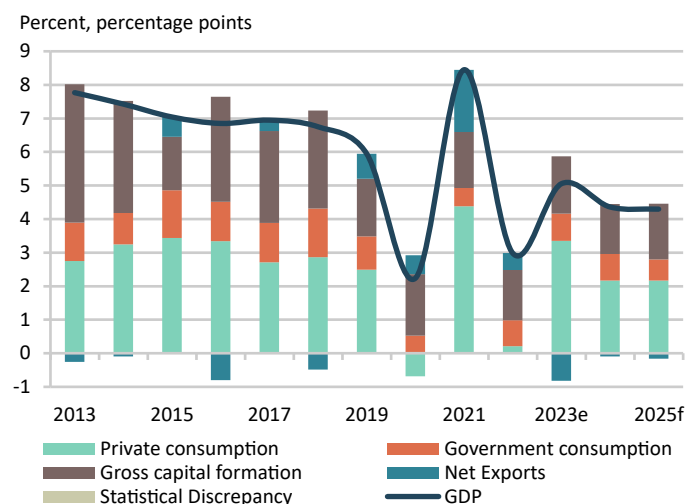
0.8 percent q/q sa in Q2, from 2.2 percent in Q1. Private consumption has weakened amid lackluster consumer confidence. Real disposable income per capita growth in the first half of 2023 remained below its pre-pandemic rate, held back by slower wage and property income growth, and lower social assistance. Secondary market housing prices in lower-tier cities have fallen more than 20 percent below the 2021 peak, hurting household wealth of which property is a key component. While real estate investment continued to contract, investment in infrastructure and manufacturing held up. Aided by policy, state-owned enterprise capital spending and public infrastructure investment have supported growth since the start of 2023.

On the external side, exports declined in the first seven months with softening external demand, while imports declined faster, alongside weak domestic demand and falling international commodity prices. China's outbound tourism surged by 64.5 percent y/y to US\$ 87.6 billion in the first half of 2023, following the easing of travel restrictions.

To address the faltering growth, the authorities have moderately eased monetary policy. The People's Bank of China lowered the key policy rates by 25 basis points year-to-date. However, high-interest rates in other major economies and the risk of capital outflows constrain the room for further monetary easing.

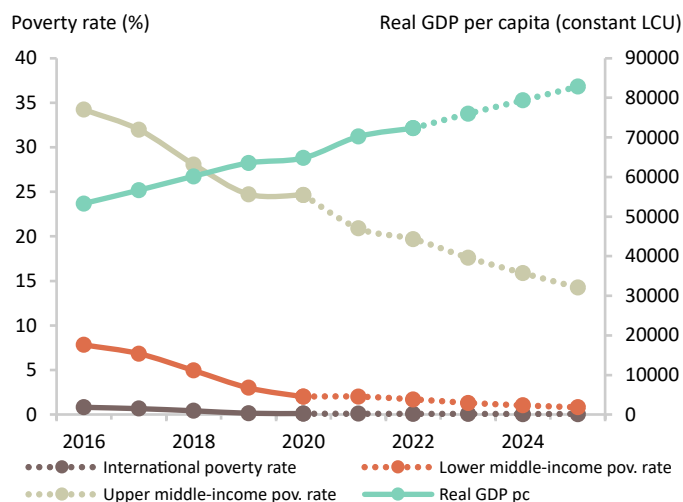
Fiscal policy, however, has been less accommodative than in the same period last year due to financing and execution constraints of local governments. Funding pressures for local governments, due to the

FIGURE 1 China / Real GDP growth and contributions to real GDP growth



Sources: China's National Bureau of Statistics and World Bank staff estimates.

FIGURE 2 China / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

sharp decline in land sales, and a limited pipeline of new infrastructure projects have raised the risk of budget under-execution. Overall, the consolidated deficit narrowed to 2.7 percent of GDP in the first half of 2023, from 4.2 percent in the same period last year.

Policy support has also, so far, failed to stabilize the property sector. The authorities lowered mortgage rates, offered tax breaks, and introduced a moratorium on developer loans. However, depressed housing demand, weak developer balance sheets, and excess capacity in lower-tier cities remain unaddressed and constrain the recovery.

Recognizing the weakness in consumer and business confidence, the authorities have issued guidance to deepen reforms and support consumption, private firms, small businesses, and foreign investment. The challenge now rests on translating the guidance into specific policies and implementing them effectively.

Modest growth in 2022 resulted in 17 million people being lifted out of poverty at the upper middle-income country line (\$6.85/day in 2017 PPP), compared to around 50 million per year in 2018 and 2019. The poverty rate at the upper middle-income country line is estimated at

19.7 percent in 2022. Mobility restrictions and a relatively weak labor market limited welfare gains in 2022. Urban households reduced consumption despite a slight increase in their disposable income, while rural households were affected to a lesser extent with average consumption increasing in 2022. The weakness in consumer and business confidence has also transmitted to the labor market, with rising youth unemployment based on the latest available data.

Outlook

Growth is projected at 5.1 percent in 2023, from a low base of 3.0 percent in 2022. This moderate post-COVID recovery is driven by persistent weakness in consumer sentiment and below-trend income growth and job creation. Weak housing demand and debt distress among property developers are expected to continue to constrain real estate investment, while investment in infrastructure will be buoyed by policy support. Exports are expected to weigh on growth due to softer external demand. Some policy support has been announced but the impact on growth is expected to be muted. Following this year's recovery,

growth is expected to return to a path of structural deceleration. Growth is projected to slow to 4.4 percent in 2024 and 4.3 percent in 2025.

Risks to the outlook are tilted to the downside. The property market turmoil and the possibility of prolonged weakness in sentiment, private consumption and investment, and hiring decisions could weigh on domestic demand. Externally, risks emanate from a sharper-than-expected tightening in global financial conditions and heightened geopolitical tensions that can further suppress exports and investment growth.

Poverty reduction is expected to pick up pace in 2023, following higher growth this year, but slow down again in 2024 in line with more moderate growth expectations. The poverty rate at the upper middle-income country line is expected to fall to 17.6 percent in 2023 and 15.9 percent in 2024. Continued urbanization means that the share of the poor residing in urban areas is projected to continue to grow, reaching 41 and 42 percent in 2023 and 2024, respectively. If access to public services is extended to all migrants in urban areas, it can boost private consumption as a driver of growth and reduce urban-rural inequalities.

TABLE 2 China / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020	2021	2022	2023e	2024f	2025f
Real GDP growth, at constant market prices	2.2	8.4	3.0	5.1	4.4	4.3
Private consumption	-1.7	11.7	0.5	9.4	5.4	5.3
Government consumption	3.1	3.3	4.8	2.7	3.4	2.9
Gross fixed capital investment	3.2	3.1	3.3	3.3	4.5	4.4
Exports, goods and services	1.7	18.4	-2.3	-0.1	2.2	2.0
Imports, goods and services	-1.4	10.3	-6.0	1.5	2.5	2.3
Real GDP growth, at constant factor prices	2.2	8.4	3.0	5.1	4.4	4.3
Agriculture	3.1	7.1	4.1	2.9	3.0	3.0
Industry	2.5	8.7	3.8	3.7	3.4	3.2
Services	1.9	8.5	2.3	6.4	5.3	5.3
Inflation (consumer price index)	2.5	0.9	2.0	0.5	1.6	2.1
Current account balance (% of GDP)	1.7	2.0	2.2	1.6	1.2	0.8
Net foreign direct investment inflow (% of GDP)	0.7	0.9	0.2	-0.6	-0.3	0.1
Fiscal Balance (% of GDP)^a	-8.5	-4.0	-6.4	-6.4	-4.5	-4.0
Revenues (% of GDP)	34.8	35.2	32.3	32.1	31.7	31.4
Debt (% of GDP)	45.4	46.9	50.5	54.9	56.3	57.0
Primary balance (% of GDP)	-7.5	-3.0	-5.3	-5.1	-3.1	-2.5
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	0.1	0.1	0.1	0.1	0.1	0.1
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	2.0	2.0	1.7	1.3	1.0	0.8
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	24.7	20.9	19.7	17.6	15.9	14.3
GHG emissions growth (mtCO₂e)	1.7	8.2	6.0	5.7	3.1	2.4
Energy related GHG emissions (% of total)	82.9	82.9	83.3	83.5	83.4	83.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ The adjusted fiscal balance adds up the public finance budget, the government fund budget, the state capital management fund budget and the social security fund budget.

b/ Last grouped data available to calculate poverty is for 2020 provided by NBS. Actual data: 2020. Nowcast: 2021-2022. Forecasts are from 2023 to 2025.

c/ Projection using neutral distribution (2020) with pass-through = 0.85 based on GDP per capita in constant LCU.